

3. When movements of several weeks or longer are confined in both averages to a range of about 5%, a “line” is said to have been formed suggesting either accumulation or distribution. If both averages break out above the line simultaneously, accumulation is deduced therefrom, and higher prices predicted. If the averages break out below the line simultaneously, the reverse conclusions are deduced. If one average breaks through a line without being confirmed by similar action by the other, the indication is negative in character.

4. An overbought market becomes dull on rallies and active on declines; and oversold markets are dull on declines and active on rallies. Large volume characterizes termination of a bull market, and bull markets begin with light trading.

5. Active stocks tend to move in consonance with the averages, but individual issues may reflect conditions peculiar to them which will cause deviations from the pattern of the averages.

The foregoing statement of the main tenets of the Dow theory necessarily does not indicate many important details or the practical manner of operating under the theory. For more complete statements of the theory and its applications see W. P. Hamilton, *The Stock Market Barometer*, New York, 1922; Robert Rhea, *The Dow Theory*, New York, 1932; Charles A. Dice, *The Stock Market*, pp. 486–506, New York, 1926; Floyd F. Burtchett, *Investments and Investment Policy*, pp. 672–688, New York, 1938. On the subject of chart reading generally, see R. W. Schabacker, *Stock Market Theory and Practice*, pp. 591–692, New York, 1930.

NOTE 70

“Investors Guide Stock Reports,” a department of Standard Statistics Co., Inc., issued the following two bulletins in October and December 1933.

B (N.Y.S.E.)			BALDWIN LOCOMOTIVE WORKS		
Stock	Rating	Dividend	Price	Date	Yield
Common	Hold II	None	11 ¹ / ₈	12/21/33	None
\$7 Preferred	Hold, P.S.*	None	34 ⁷ / ₈		None
Warrants	Hold II		7		

* P. S. = Preferred-Speculative.

COUNSEL: Constructive developments in sight serve to neutralize the adverse effect in the COMMON of the eventual exercise of stock purchase warrants. The PREFERRED has long term speculative attraction.